

Budget Requirements and Instructions

The remainder of this page is intentionally blank.

Table of Contents

1. Introduction	4
2. Budget Detail Form.....	4
2.1. Applicant's Name	4
2.2. Part A: Indirect Cost Rate.....	5
2.3. Part A-1: "Cost Per" Detail.....	7
2.4. Parts B and C: Budget Detail.....	7
2.5. Part D: Leverage Detail	8
3. Allowability and Prior Approval	9
3.1. General Allowability Factors	9
3.2. Unallowable Costs	11
3.3. Prior Approval.....	12
4. Administrative and Program Costs	14
4.1 Administrative Cost Limit	14
4.2. Administrative Costs.....	14
4.3. Program Costs	17
5. Indirect Costs	19
6. Leverage, Match, and Other Cost Sharing	19
7. Cost Category Descriptions	20
Personnel Salary/Wage.....	20
Fringe Benefits	20
Travel	20
Supplies	21

Equipment..... 21

Contractual..... 21

Other..... 21

1. Introduction

The Budget Workbook consists of five (5) worksheet tabs: Table of Contents, Instructions, Budget Detail Form, Budget Summary Form, and Budget-TWC Use. Do not alter the Budget Workbook or its formulas. Doing so may result in disqualification of the Application.

All required Applicant data entry for the Budget Workbook occurs on the Budget Detail Form tab. The Budget Detail Form tab consists of 3 Parts, which are described in these instructions. Complete each Part. Information from the Budget Detail Form tab will automatically populate the Budget Summary Form tab, including the total requested Amount.

Please note that the dollar value listed as the "Total Requested Amount" on the Budget Summary Form tab is the highest award that TWC will make for the Application. TWC may not increase the award if an Applicant error is later identified that resulted in the "Total Requested Amount" being less than intended by the Applicant. **Prior to submission, please be certain that this number accurately reflects your total Budget.**

2. Budget Detail Form

Complete the Budget Detail Form tab of the Budget Workbook according to the instructions that follow.

2.1. Applicant's Name

Enter the name of the Applicant's organization in the designated cell in the second row of the Budget Detail Form tab. The first row of the Budget Detail Form is pre-filled with the TWC RFA title and number, and should not be altered.

2.2. Part A: Indirect Cost Rate

Complete the questionnaire in Part A: Indirect Cost Rate, on the Budget Detail Form tab. The part requires the Applicant to indicate whether it will apply an Indirect Cost Rate to the Grant Award, to identify the applicable Indirect Cost Rate and applicable Indirect Cost Rate base, the entity that negotiated and approved the rate and Indirect Cost Rate agreement (if applicable), and indicate whether the rate complies with the restricted rate requirements in this Attachment. For an organization using a rate approved by a federal cognizant agency for Indirect Costs, or other authorized entity, the TWC Grant Manager may require submission of the organization's Indirect Cost Rate approval letter.

If including Indirect Costs, the Applicant must also indicate the total dollar amount estimated to be recovered in the designated space under the cost category for "Other" in Part B, Budget Detail on the Budget Detail Form tab.

Refer to Section 5, Indirect Costs in this Attachment for more information about Indirect Costs.

Complete the questionnaire in Part A: Indirect Cost Rate on the Budget Detail Form tab. The part requires the Applicant to indicate whether it will apply an Indirect Cost Rate to the Grant Award, to identify the applicable Indirect Cost Rate and applicable Indirect Cost Rate base, the entity that negotiated and approved the rate and Indirect Cost Rate agreement (if applicable), and to select from a drop-down menu to indicate the rate type. For an organization using a rate approved by a federal cognizant agency for Indirect Costs, or other authorized entity, the TWC Grant Manager may require submission of the organization's Indirect Cost Rate approval letter.

Rate type refers to the following:

- 1) "Negotiated" refers to a rate approved by the Applicant's federal cognizant agency for Indirect Costs, or other authorized entity, which that rate agreement makes applicable to the type of awards provided under this RFA. Select from Negotiated Provisional, Negotiated Predetermined, or Negotiated Fixed.
 - a) A provisional rate is a negotiated temporary Indirect Cost Rate applicable to a specified period (usually the entity's fiscal year), which is used for funding, interim reimbursement, and reporting Indirect Costs on awards, pending the establishment of a final rate for the period (which is based on the actual costs for the period and is not subject to adjustment).
 - b) A predetermined rate is a negotiated Indirect Cost Rate, applicable to a specified current or future period (usually the entity's fiscal year), which is based on an estimate of the costs to be incurred during the period, and which is not subject to adjustment.
 - c) A fixed rate is a negotiated Indirect Cost Rate, which has the same characteristics as a predetermined rate, except the difference between the estimated costs and the actual costs of the period covered by the rate is carried forward as an adjustment to the rate computation of a subsequent period.
- 2) "De minimis" refers to the de minimis Indirect Cost Rate described in 2 C.F.R. § 200.414 of the UG (for federal awards), and TxGMS (for state

awards). Use of a de minimis rate is limited to the circumstances permitted under the UG or TxGMS, as applicable.

- 3) "Proposed" refers to a rate up to the de minimis rate that the Grantee is seeking approval with TWC for purposes of this specific RFA, because the Grantee does not have a negotiated rate and does not want to use (or is ineligible to use) the de minimis rate. Because of the complexity of rate negotiation, TWC generally does not negotiate rates for specific awards.

If including Indirect Costs, the Applicant must also indicate the total dollar amount estimated to be recovered in the designated space under the cost category for "Other" in Part B, Budget Detail on the Budget Detail Form tab.

Refer to Section 5, Indirect Costs in this Attachment for more information about Indirect Costs.

2.3. Part A-1: "Cost Per" Detail

This RFA does not have a "cost per" requirement.

2.4. Parts B and C: Budget Detail

Use Part B: Budget Detail—Administrative Costs and Part C: Budget Detail—Program Costs, on the Budget Detail Form tab, to identify and provide supporting Budget narrative for each proposed cost. Each of the two Parts is further divided into prescribed cost categories. Refer also to Section 7, Cost Category Descriptions in this Attachment.

Each cost category consists of three (3) required data entry columns, as follows:

- 1) **Cost Items:** List each proposed Cost Item on a separate row. Include the proposed quantity, if applicable. The cost category descriptions in Section 7 of this Attachment further detail the data entry requirements for the Cost Items for each cost category. On the Budget Detail Form tab, a data input message in the first data input row for each cost category provides corresponding tips.
- 2) **Amount:** For each listed Cost Item, use the Amount column to specify the proposed cost (dollar value) for that Cost Item. Use whole dollars only.
- 3) **Budget Justification:** Describe the basis for the cost estimate and how the cost supports the activities in the Application. The cost category descriptions in Section 7 of this Attachment further detail the Budget Justification data entry requirements for each cost category. On the Budget Detail Form tab, a data input message in the first data input row for each cost category provides corresponding tips.

Do not alter the formulas. Doing so may result in disqualification of the Application. New rows may be added as needed, please add them above the subtotal line for each cost category.

2.5. Part D: Leverage Detail

This RFA does not have a leverage requirement.

3. Allowability and Prior Approval

3.1. General Allowability Factors

Except where otherwise authorized by statute, all costs must meet the General Allowability criteria set forth in the applicable cost principles identified in Attachment 2, General Terms and Conditions. Under those cost principles, a cost must meet the following general criteria to be allowable under the Grant Award:

- 1) Be necessary and reasonable for performance of the Grant Award, and Allocable thereto in accordance with the applicable cost principles for the Grant Award.
- 2) Conform to any limitations or exclusions set forth in the applicable cost principles for the Grant Award, or in the Grant Award or this RFA as to the types or Amount of Cost Items. The applicable cost principles identify certain costs as being allowable or unallowable, allowable or unallowable with conditions or exceptions, or unallowable except with prior approval. The Grant Award or this RFA may establish similar additional limitations. Examples of additional limitations or exclusions set forth in the Grant Award or this RFA include, but are not limited to those established by the program and eligibility requirements in this RFA; laws, regulations, rules, and guidance incorporated into the RFA or Grant Award; Administrative Cost Limits, if any; costs specifically identified as being unallowable under the RFA or Grant Award or as requiring prior TWC approval; other expenditure limitations; and the terms and conditions in Attachment 1, Special Terms and Conditions, if any, Attachment 2, General Terms and Conditions, and the Financial

Requirements section in Form A, Core Application. Refer also to Section 3, Allowability and Prior Approval in this Attachment.

- 3) Be consistent with policies and procedures that apply uniformly to both federally financed funds
- 4) Be accorded consistent treatment. A cost may not be assigned to a Grant Award as a Direct Cost if any other cost incurred for the same purpose in like circumstances has been allocated to the Grant Award as an Indirect Cost.
- 5) Be determined in accordance with generally accepted accounting principles, except where may be specified otherwise by the applicable cost principles for the Grant Award.
- 6) Not be included as a cost or used to meet Cost Sharing or matching of any other federally financed program [see Drafting note] in either the current or a prior period.
- 7) Be adequately documented.
- 8) Be incurred during the approved Budget Period.

3.2. Unallowable Costs

Unallowable Cost refers to a cost that does not satisfy the allowability criteria described in Section 3.1, General Allowability Factors in this Attachment.

The following costs are unallowable under this RFA:

- 1) Alcoholic beverages;
- 2) Food and beverage costs;
- 3) Door prizes and other giveaways;
- 4) Entertainment;
- 5) Goods or services for personal use;
- 6) Out-of-state travel;
- 7) Foreign travel;
- 8) Equipment;
- 9) Vehicles;
- 10) Expenditures for purchase of land or buildings, construction of buildings, or additions, improvements, modifications, replacements, rearrangements, reinstallations, or renovations to land, facilities, and buildings (whether leased or owned);
- 11) Supportive services;

- 12) Stipends to participants;
- 13) Pre-Award Costs;
- 14) Supplanting existing federal, state, or local funds available to the proposed program;
- 15) Any costs that are unallowable under applicable cost principles governing the Grant Award, or TWC's Financial Manual for Grants and Contracts (FMGC); and
- 16) Any other cost that is inconsistent with or not conforming to the governing requirements and provisions in the RFA.

3.3. Prior Approval

For this RFA, the following costs are unallowable except with prior TWC approval:

- 1) Computing Devices (such costs must be necessary and reasonable for, and allocable to the project); ; and
- 2) Any other cost that requires prior approval under the UG, TxGMS (if applicable), TWC's FMGC, or the terms and conditions of the Grant Award.

The Applicant must identify any such known costs in the Budget Detail Form tab of the Form B, Budget Workbook. However, inclusion in an approved Budget does not constitute prior TWC approval. If the Applicant receives a Grant Award under this RFA, it must submit a prior approval request to the

TWC Grant Manager before incurring such costs, including those originally submitted in the approved Budget.

4. Administrative and Program Costs

4.1 Administrative Cost Limit

Administrative Costs charged to the Grant Award shall not exceed ten percent (10%) of the total funds expended under the Grant Award. Detail the proposed Administrative Costs in Part B: Budget Detail on the Budget Detail Form tab of the Budget Workbook.

Except as otherwise provided in Section 4.2, Administrative Costs in this Attachment, Indirect Costs, if any, recovered by the Applicant are Administrative Costs under this RFA. Indirect Costs are subject to the limitations in Section 5, Indirect Costs in this Attachment.

If the ten percent (10%) Administrative Cost Limit in this RFA is not sufficient to enable an Applicant to recover Allocable Indirect Costs described in Section 5, Indirect Costs in this Attachment, the Applicant may request a higher level of administrative funds by including the additional costs in the Budget Workbook that does not exceed fifteen percent (15%).

Refer to Section 4.2, Administrative Costs in this Attachment for the definition of Administrative Costs. Refer to Section 4.3, Program Costs in this Attachment for examples of Program Costs.

4.2. Administrative Costs

As used in this RFA, administrative costs have the meaning defined by WIOA Final Rule at 20 C.F.R. § 683.215 excluding costs not allowable under this RFA. As defined by WIOA Final Rule, 20 C.F.R. § 683.215, administrative costs mean costs associated with performing the following functions:

- 1) accounting, budgeting, financial and cash management functions;
- 2) procurement and purchasing functions;
- 3) property management functions;
- 4) personnel management functions;
- 5) payroll functions;
- 6) coordinating the resolution of findings arising from audits, reviews, investigations, and incident reports;
- 7) audit functions;
- 8) general legal services functions;
- 9) developing systems and procedures, including information systems, required for the above administrative functions;
- 10) fiscal agent responsibilities;
- 11) performing oversight and monitoring responsibilities related to WIOA administrative functions;
- 12) costs of goods and services required for administrative functions of the program, including goods and services such as rental or purchase of equipment, utilities, office supplies, postage, and rental and maintenance of office space required for the administrative functions of the program;

- 13) travel costs incurred for official business in carrying out administrative activities; and
- 14) costs of information systems related to administrative functions (for example, personnel, procurement, purchasing, property management, accounting, and payroll systems), including the purchase, systems development, and operating costs of such systems.

Additionally, under WIOA Final Rule at 20 C.F.R. § 683.215:

- 1) Awards to subrecipients or contractors that are solely for the performance of administrative functions are classified as administrative costs.
- 2) Personnel and related non-personnel costs of staff that perform both administrative functions and programmatic services or activities must be allocated as administrative or program costs to the benefitting cost objectives/categories.
- 3) Specific costs charged to an overhead or indirect cost pool that can be identified directly as a program cost are to be charged as a program cost. Documentation of such charges must be maintained.
- 4) Continuous improvement activities are charged to administration or program categories based on the purpose or nature of the activity to be improved. Documentation of such charges must be maintained.
- 5) Costs of the following information systems—including the purchase, systems development, and operational costs (e.g. data entry)--are

charged to the program category: tracking or monitoring of participant and performance information; employment statistics information, including job listing information, job skills information, and demand occupation information; performance and program cost information on eligible training providers, youth activities, and appropriate education activities; local area performance information; and information relating to supportive services and unemployment insurance claims for program participants.

All costs must conform the limitations described in Section 3, Allowability and Prior Approval in this Attachment. An Unallowable Cost cannot be charged as either an Administrative Cost or Program Cost.

4.3. Program Costs

Program Costs are those costs that fall outside the definition of Administrative Costs provided in Section 4.2, Administrative Costs in this Attachment. Examples of Program Costs for this RFA include but are not limited to:

- 1) the allocable share of salary/wage and benefit costs for time that grantee employees spend performing programmatic (non-administrative) activities;
- 2) curriculum;
- 3) outreach activities, including related supply and printing costs for brochures and fliers;

- 4) in-state travel costs incurred by grantee personnel while performing programmatic (non-administrative) activities; and
- 5) utilities, office supplies, postage, rental and maintenance of space, and other goods and services required for programmatic (non-administrative) activities.

All costs must conform the limitations described in Section 3, Allowability and Prior Approval in this Attachment. An Unallowable Cost cannot be charged as either an Administrative Cost or Program Cost.

5. Indirect Costs

Indirect Costs, if any, charged to this Grant Award must result from one of the following:

- 1) proper application of an indirect cost rate approved by the Applicant's federal cognizant agency for Indirect Costs, or other authorized entity, as appropriate;
- 2) proper application of the de minimis rate as described in 2 C.F.R. § 200.414, if eligible; or
- 3) a rate up to the de minimis rate approved by TWC for purposes of an award resulting under this RFA.

If charging Indirect Costs to the Grant Award, identify the indirect cost rate in the space provided on the Budget Detail Form of the Budget Workbook.

An Applicant that is not required by the UG to have an approved federally recognized indirect cost rate negotiated between itself and the federal government, or other authorized entity, as appropriate, and which ordinarily charges all costs as Direct Costs, may continue to do so under this RFA, and is not subject to the indirect cost rate limitations described in this Section.

6. Leverage, Match, and Other Cost Sharing

This RFA does not require Leverage, Match, or other Cost Sharing.

7. Cost Category Descriptions

Personnel Salary/Wage

Salaries and Wages for full- and part-time employees' activities on the grant. This category includes Salaries and Wages of individuals who are or will be employees of the successful Applicant only. In the Budget Justification include details such as number of positions, titles, Salaries, and percentage of time on the project.

Fringe Benefits

Fringe Benefits for any of the above listed employees. Fringe Benefits include such costs as employer contributions or expenses for Social Security, employee insurance, workers' compensation insurance, and pension plan costs. In the Budget Justification include the title of the covered personnel.

Travel

Travel expenses incurred to carry out official business of the Grant Award. This category includes Travel costs for individuals who are or will be employees of the successful Applicant only. In the Budget Justification include details such as the location, event name, number of staff traveling, reimbursement rates, and number of days. Specify whether the Applicant's travel policy is based on federal rates established by the U.S. General Services Administration, state travel regulations, or some other source. If another source, please specify.

Supplies

Tangible personal property other than Equipment. In the Budget Justification describe the Supplies, how they will be used for the project, and where feasible, quantity.

Equipment

Equipment means an article of nonexpendable, tangible, personal property having a useful life of more than one year, and an acquisition cost of \$10,000 or more. For the full definition see RFA Solicitation, Section 1.2 Definitions and Acronyms.

Contractual

Work to be completed by Subrecipients and/or contractors. It includes, but is not limited to subawards to Subrecipients, and contracts for temporary employment services, utilities, telephone, printing/duplication services, maintenance and repair, janitorial services, and space rental. In the Budget Justification describe the work or services to be performed.

Other

Other costs to carry out the Grant Award, including allowable Indirect Costs of the successful Applicant, if applicable. Refer to Section 5, Indirect Costs in this Attachment for more information about Indirect Costs.